

BENJAMIN GRAHAM: THOUGHTS ON SECURITY ANALYSIS

1972

An interview with Professor Pat Ellebracht. The late “dean of the security analysts and money managers” reveals his life-long experiences to the investors of tomorrow.

A visit back in time with Benjamin Graham, the man whom Forbes magazine called "the dean of the security analysts and money managers," and a business school class at Northeast Missouri State University conducted by Professor Pat Ellebracht in March of 1972. Individuals in financial circles regard Graham's knowledge of securities and his ability to write about them as unparalleled. Sharing this time together is our once in a lifetime opportunity.

Teacher: Welcome to our tele-lecture series and we certainly appreciate your spending time to talk with us.

Graham: It is a new experience for me and I hope it works out well for all of us.

Teacher: What are the personal characteristics an individual must have if he is to be a successful long term investor?

Graham: Investment is most intelligent when it is most businesslike. I should add that it is most successful when it is most businesslike. The simple answer to the question is that one needs the characteristics of a good businessman, which would make for long-term success in business. Knowing what he is doing, having sufficient judgment to do sensible things rather than silly ones. Beyond that, I wouldn't say that any particular characteristics are required. A man who has a special flair or intuition presumably would do better than one without it, but even that is somewhat doubtful in Wall Street because one can carry one's confidence, and his flair and his intuition, too far and lose out in the end. So I'll stick to my statement that one has to be an intelligent businessman.

Student: What characteristics do individuals generally lack that keep them from being successful long-term investors?

Graham: The primary cause of failure is that they pay too much attention to what the stock market is doing currently. They feel that what's going on now will continue

indefinitely or long enough for them to benefit substantially. They want to make more money than they deserve to, and because of that, frequently lose out. They do not match their expectations to their knowledge and capabilities.

Teacher: In your writings, you use many quotations from the classics. May we ask how have the classics influenced your view of human nature and your investment philosophy?

Graham: It hasn't had any significant influence on my career. I just use the classics more out of vanity than anything else because it shows that I really know something about them. They have helped me to look at things, as Spinoza put it, from the standpoint of eternity, rather than day-to-day. I think that has been of considerable value.

Student: What is your definition of an investment and how does it differ from a speculation?

Graham: That appears very early in our book on security analysis and is supposed to be very formal. It says "an investment is an operation in securities, which, upon careful analysis, promises safety of principal and an adequate return." All other operations are speculations.

Teacher: Do you think that the investor's overall investment philosophy is influenced too much by what happened to him in one stock rather than by a more realistic approach to the market in general?

Graham: I would say that there is a more universal approach to the market than the single influence. In the interview with Forbes, I said that people who bought IBM at an extremely low price might have been spoiled because of that successful one-time investment. They might have thought that it was quite easy to find another IBM. And so they might have wasted their investment lives looking for a second IBM. To that extent a man's viewpoint maybe influenced by his own few experiences.

Student: Would you please comment on the statement you made in *The Intelligent Investor*: "If you merely try to bring just a little extra knowledge or cleverness to bear on your investment program you might actually do worse than before."

Graham: People seem to think that if you just know a little more than the average person about securities,

you'll do better than the average person. Now the average person we'll assume, if he is not led astray, will get average results in the stock market. If you are trying to get better than average results, you're going to very likely rely on what you think is sufficient extra knowledge to do that, you don't have the sufficient extra knowledge to do better than average and very well may do worse. You are trying to be smart, but you are not going to be smart enough. This is what happens to a majority of people who are playing the market, the ones that spend a good deal of time on Wall Street, in brokerage houses and so on, thinking that they can outsmart the other fellow or the averages themselves. One has to be very smart to be smarter than the experts who make up the stock market, that is to be smart enough to outperform the averages.

Student: If you had to look at the 1970's and choose either high-grade common stocks or high-grade bonds, which would you select?

Graham: This is an artificial question since my basic philosophy is not to choose one of them exclusively. If you ask me which one I would favor now, at current levels, I would certainly say the high- grade bonds since they yield twice as much as high- grade stock and more.

Student: If your main interest with respect to investments was protecting yourself from inflation, how would you do it?

Graham: Well, I would just make the best judgment I could as to the expected rates of inflation, and then I would make the very best decision I could to deal with this expectation. My best view over the next ten years about the rate of inflation, is a rather modest 3 per cent. I don't try to make up my mind as to the future in terms of recent experience. That is a common error that leads to bad judgment all over the place in finance. The Conference Board happened to have a 3 per cent estimated price increase for 1972, and I have made a projection of the same amount for about the next seven years.

Teacher: In the Forbes article you suggest that the stock market is likely to be subject to wide swings in the years ahead. Is the reason for this behavior the government's attempt to control the business cycle or the public's belief that fast profits can be made in the stock market, as in the late 1960's?

Graham: Well, I don't believe the government's attempt to control the cycle would or should necessarily lead to wide swings. Long experience in the stock market indicates that the public always thinks it can make fast profits in one direction or another. It seems that human nature requires that stock price movements be carried too far. Too far means that there are going to be corresponding movements in the other direction. And what we'll have in the future, I assume, is pretty much of what we've had in the past, the kind of thing that you've seen in the last two years when the market declined from 995 on the Dow Jones to 630 and come back to 940, and it has been fluctuating since.

Student: Do you think the bear market of 1969-70 is over?

Graham: Well, technically I would say yes. You have a sufficient recovery from the 680 low on the Dow to over 900. The movement that we are in right now is not simply a minor or temporary recovery. If you want to bother with the bull and bear markets, you might as well consider that we have been having another bull market since May 1970.

Student: Do you make a distinction between earning power and current earnings? How do you measure quality of earnings?

Graham: Quality of earnings is not so much related to this distinction between earning power and current earnings. Historically, it is based on the two points of stability of earnings, the lack of any significant downtrend, plus the question of whether there is a pronounced and well-maintained upward movement over the years. The better the stability, the better the upward movement, the better the quality of earnings.

Students: Please explain what margin of safety means with respect to common stock.

Graham: That is discussed at some length in The Intelligent Investor. The margin of safety is the difference between the percentage rate of the earnings on the stock as the price you pay for it and the rate of interest on bonds, and that margin of safety is the difference which would absorb unsatisfactory developments. At the time the 1965 edition of The Intelligent Investor was written the typical stock was selling at 11 times earnings, giving about 9% return as against about 4% on bonds. In that case you had a margin of safety of over 100 per cent. Now

there is no difference between the earnings rate on stocks and the interest rate on bonds, and I say there is no margin of safety. So instead of having the effective margin of safety obtained in 1965, you have a negative margin of safety on stock, which I consider a very important negative factor in connection with buying stocks at these levels (1972).

Student: In *The Intelligent Investor*, you refer to a different kind of water that has been put back in the stock market by investors and speculators themselves. Would you discuss this new kind of water?

Graham: In the old days, what was known as water represented a secret mark-up of the value of the company's assets, chiefly its fixed assets, above their actual cost and above their replacement value so when a stock seemed to be worth \$100 a share on the balance sheet, actually it was only worth \$20 based on value behind it. Now those semi-fraudulent balance sheets have been corrected. Instead of them, the stock market itself fools with the prices the investor pays. We will put a price of \$100 on a stock that has only \$20 of fixed value or cost values behind it and the difference between the stock market's valuation as against true book value corresponds to that other difference which was definitely recognized as the watered stock phenomenon. People are paying \$100 for a \$20 stock in the same way as in the old days a stock that was really worth only \$20 was valued on the balance sheet at \$100.

Student: How is the new edition of *The Intelligent Investor* different from the previous edition?

Graham: The basic advice and conclusions about investment procedure have not been changed to any substantial degree. The underpinning has been strengthened by my experience with inflation in the last four years, as a justification for the principles I have been pronouncing since 1949 in the first edition of *The Intelligent Investor*. These principles seem to have been set aside by an almost continuous rise in the stock market from 1939 to 1968. But the experience since 1968 seems to me to give confirmation to the reasoning expressed in the earlier editions. Naturally, I gave more attention to the question of inflation in the new edition than I did previously, because significant inflation took place since the last edition. But as you know, I do not accept it as an indication of what the

future holds for us. I don't consider that five and six percent inflation is likely over the long term. I also pay attention to the change in interest rates, which is very significant. I think that because of the adverse change in interest rates from the standpoint of the stock buyer, the value of the Dow Jones average is no greater now than it was five or six years ago. Any other reasons for increased value have been offset by the increase in the interest rate factor.

Student: If we were successful in controlling the business cycle, would you change your investment philosophy from buying cheap and selling dear to buying and holding for an infinite period?

People seem to think that if you know a little more than the average person about securities, you'll do better than the average person.

Graham: Well, that again is a partly artificial question. I am sure we have better control over business cycles since World War II, which in itself would make for fluctuations in stock prices. But the public has offset that by its crazy idea that once business cycles are under reasonably good control, no price is too high for common stocks, so it's because of that confidence that you've had a more or less corresponding tendency toward fluctuations in the price levels of common stocks. I think there will be fluctuations in the future, but it is not an easy thing to find out just where you can expect to buy low and at what point should you sell. However, the program I propose with 25 percent of the portfolio in stocks and 25 percent in bonds, allowing the other 50 percent to fluctuate in accordance with the market, could be operated pretty well over the future, whether the business cycle is under better control or not. It will still be a feasible program if a man wants to give it the time and attention it needs.

Student: In the Forbes article, you said you would buy public utility stocks because they are selling around book value. Are your gains here not going to be limited by a regulatory environment and high interest charges?

Graham: Well, that is a good question and I am glad you asked it. The gains would be limited by regulations, but there are two things on the plus side. One is that the losses should be very strictly limited, and secondly, that there is a much better promise of gain if you buy these stocks at book value than for a typical industrial stock that you would buy at book value. Utilities

have very strong advantages which are not recognized in the current market. Their earnings are legally protected. Regulatory bodies must give them adequate earnings to support their investment and pick a value and particularly to encourage new investment. That has resulted in a rate structure which has resulted in stock prices about 50 percent above common stock book value. You see, it would not be possible to raise substantial amounts of money through the sales of common stocks to the public unless the public had reason to believe that the value of the stocks they are buying would at least be worth the price they are paying. Under those circumstances the whole history and philosophy of regulation has virtually guaranteed a premium over book value for common stocks with the very minor danger of declining below it, and that is a very good combination. I think an investor should be well satisfied with a very good chance of having a 50 percent gain on his investment very quickly, with very little chance of loss.

Student: Why would you select public utilities stocks over natural resource stocks, such as copper, oil, and land stocks that are selling for around book value?

Graham: First, you don't find so many natural resource stocks selling about book value unless they have had some real difficulties with their earnings, the kind of thing that has not happened to the utilities. For utilities, an adverse situation is one where they earned a few cents less than the year before, instead of two or three percent more than they earned the year before. But for natural resource stocks, earnings are subject to all sorts of fluctuations and conditions. Suppose you take Anaconda, subject to confiscation of part of its assets, losing 3/4 of its price and about that much of its earnings in the last two years. Or look at Gulf States Land and Industrial Company. You find that they have virtually no earnings, and the price has fluctuated between 30 and 2 recently. That is completely different from a public utility investment. It hasn't got the quality of earnings which we were talking about.

Student: How do you go about determining the intrinsic value of a natural resource stock?

Graham: It is an exceedingly difficult thing to do. When we were putting values on companies, we had some scale of value for oil resources, like \$1 a barrel for developed resources, 40 cents a barrel for probable reserves, and 10-

20 cents a barrel for possible reserves. That can be done, but the results are not especially useful. If somebody asked me to put a value on a natural resource company, I don't think that I could do it well, and then I would not like to do it at all.

Student: Do you think corporations should substitute stock dividends for cash dividends in order to more easily finance long-term growth?

Graham: Yes, by all means. Dividend policy in my own opinion has been very unintelligent, especially by public utilities which pay out the typical 2/3 of their earnings in cash and then every now and then take back money for new stock, which is greater than the amount of the previous dividend that they paid out. They could have anticipated that by paying stock dividends in place of cash, and the stockholder would have been spared on income tax on those earnings. He would have built up his equity, by not having to pay taxes on the dividends he received in cash, since they were added to his equity. American Telephone and Telegraph could have saved billions of dollars for its stockholders if it had developed a stock dividend policy more or less equivalent in the final result to its cash dividend plus rights.

Teacher: Mr. Graham, I had a question that came to mind while you were talking. We see this statement made in textbooks a lot of times and it seems that the market disproved it in 1969-70. It is the blanket statement that stocks are an inflation hedge. How do you feel about that?

Graham: Well, they are a better inflation hedge than bonds, but they certainly are not perfect. You can't assume that their earning power will increase to reflect inflation. You might say that historically, stocks have repaid their earnings on your investment capital in spite of inflation. Bonds, on the other hand, lost a considerable portion of their principal value because of inflation, so to the extent that stocks have stood still and bonds have declined over the last 10 or 20 years, stocks have fared much better. The point is that the real earning power of a company is measured by the rate of earnings on its stock equity. If you double the equity, you would assume that the earnings would double. What has happened over many years is that the common stock has built up considerable stock equity, and while earnings have gone up,

they have not gone up more than the equity. So that all that has happened is that they are earning a lot less, say 9.5 % for Dow Jones companies where 20 years ago they were earning 12 %. The change has been downward in the last twenty years in spite of inflation so to that extent you cannot say that inflation has benefitted common stocks.

I think an investor should be well satisfied with a very good chance of having a 50% gain on his investment very quickly, with very little chance of loss.